

Business Plan

Houd-Houd

January 29, 2026

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1. Executive Summary

1.1 Description

This project aims to launch a localized School-Parent Communication App in Algeria. The objective is to validate a scalable business model that modernizes school management, replacing disjointed methods like WhatsApp and paper notebooks with a centralized, professional platform. We seek to secure a pilot with some private schools to demonstrate market viability before scaling to a larger scope.

1.2 Business Overview and Objectives

The company operates in the Educational Technology sector, targeting the 1,500+ private schools in Algeria. This market presents a "blue ocean" opportunity: while a large percentage of US schools utilize similar apps, adoption in Algeria is minimal despite a 76.9% internet penetration rate. The project's greatest opportunity lies in the massive gap between the "mobile-first" behavior of the population and the lack of digital tools in schools. Our objective is to build trust, make revenue and secure our project as the household name for this niche.

1.3 Product and Value Proposition

The core product is a mobile and web application offering:

- **For Schools (B2B):** Real-time grade entry, attendance tracking, and administrative dashboards that reduce their workload.
- **For Families (B2C):** A "Family+" subscription featuring homework help, learning insights, AI assistance...

Competitive Advantages: The solution is fully localized, priced lower than international competitors, and technically optimized for low-end devices and local network speeds.

1.4 Market and Customers

The Total Addressable Market includes 9 million students and 4.5 million families. The initial focus is on the private sector, specifically targeting 300-500 schools in urban areas like Algiers, Oran, Constantine...

- **Primary Customers:** Private school directors and IT administrators.
- **Secondary Customers:** Parents, specifically the working, tech-savvy demographic.

1.5 Strategy and Development

1. **Pilot (Months 1-6):** Free 1-year trial for 10-20 schools to validate features and gather testimonials.
2. **Early Growth (Months 7-18):** Launch of paid B2B subscriptions and the B2C "Family+" plan.

3. **Scale (Months 19-36):** Expansion to 200+ schools and potential B2G partnerships with the Ministry of Education.

1.6 Financials and Resources

- **Team:** The cost structure includes a dedicated development team (1.5M-2.5M DZD/month).
- **Forecasts:** Revenue is projected between 36M and 70M DZD in Year 1, scaling to 180M-350M DZD by Year 3.
- **Financial Needs:** Capital is required to cover the monthly burn rate of approximately 2M-3.5M DZD, primarily for development and cloud infrastructure, ensuring a runway through the pre-revenue pilot phase.

1.7 Risks and Mitigation

The project faces risks regarding schools' "low willingness to pay" and "resistance to change". These are mitigated by offering discounts for annual prepayments and extensive training to ensure adoption. Technical risks related to connectivity are addressed via offline capabilities and low-data modes.

2. Company Overview & Management

Description

Houd-Houd is an emerging EdTech startup dedicated to modernizing the Algerian education sector. We provide a specialized communication platform connecting schools, teachers, and parents, aiming to replace informal, chaotic methods with a professional, centralized solution.

Location & Legal Structure

Headquarters

The company is headquartered in **Mahelma, Algiers**, strategically located near the Sidi Abdellah Cyberpark to benefit from the technological ecosystem and proximity to key partners.

- **Office Type:** We currently operate out of a co-working space to optimize costs (estimated 100k–200k DZD/month) while maintaining flexibility for team expansion.

Legal Form & Capital

- **Legal Status:** Houd-Houd is constituted as a **SARL (Société à Responsabilité Limitée)** and is in the process of obtaining the "**Label Startup**" from the Ministry of Knowledge Economy to benefit from tax exemptions and support mechanisms.
- **Capital Structure:** The share capital is held entirely by the founding team.
- **Future Evolution:** As we scale towards the "Growth Phase" (300+ schools), we plan to open capital to Venture Capital (VC) investors to fund national expansion.

Organization & Human Resources

Internal Structure

We operate with a lean, "Agile" organizational structure designed for rapid iteration and product development.

- **Technical Team (Dev):** Comprises Frontend (Flutter) and Backend (Node.js/Firebase) developers responsible for the "Offline-first" architecture.
- **Design (UI/UX):** Dedicated designers ensuring the app is accessible to non-tech-savvy parents (a key differentiator in our Empathy Map).
- **Commercial & Support:** A sales team focused on B2B acquisition (schools) and a support team handling onboarding and user queries.

HR & Salary Policy

To attract top tech talent in a competitive market, we offer a hybrid compensation model:

- **Salaries:** Competitive fixed salaries for the Dev team (Budget allocation: 700k–1M DZD/month).
- **Incentives:** A performance-based commission structure (10–15%) for the sales force to drive school subscriptions.

Purpose & History

Corporate Purpose

According to our commercial registration, our purpose is the **Design and Development of Educational Software Solutions**.

- **Mission:** To bridge the gap between schools and families, reducing parental anxiety and administrative workload through technology.
- **Core Service:** A SaaS (Software as a Service) platform offering real-time grades, attendance tracking, and private messaging.

History & Evolution

- **Founding (2025-2026):** Houd-Houd was born from the observation of the "WhatsApp Chaos"—parents overwhelmed by unstructured messages.
- **Current Stage:** We are currently in the "**University/Pilot Phase**," focusing on finalizing the MVP and securing the first 10-20 partner schools in Algiers.

Support Framework

External Support & Partners

We are not operating in isolation. We have established strategic relationships to ensure stability:

- **Incubation:** We are affiliated with local EdTech incubators for mentorship and networking.
- **Strategic Partners:** We aim for partnership with the **Ministry of Education** for future public sector expansion (B2G).
- **Financial:** We utilize local payment gateways (CIB/Dahabia) to facilitate school fee payments.
- **Accounting:** External Chartered Accountant mandated for financial auditing and tax compliance.

Key Figures & Projections

Financial Trajectory

As a startup in the launch year, our focus is on growth rather than historical data.

- **Projected Year 1 Revenue:** 8M – 10M DZD (based on pilot school subscriptions).
- **Break-even Point:** Expected between Months 9 and 12, upon reaching a critical mass of 8-10 fully subscribed schools.
- **Cost Management:** Monthly burn rate is controlled via cloud scalability (starting at 30k DZD) and variable marketing costs.

Management & Succession

Leadership Team

Our management team combines technical expertise with business acumen:

- **CEO (General Manager):** Responsible for strategy, investor relations, and partnerships. Strengths: Vision and B2B sales experience.
- **CTO (Technical Lead):** Oversees the Flutter/Firebase stack. Strengths: Full-stack development and security architecture.
- **CMO (Marketing):** Manages the brand and parent engagement. Strengths: Digital marketing and community management.

Strengths & Weaknesses of Management

- **Strength: Agility.** The team is young, tech-savvy, and deeply understands the "Millennial Parent" demographic (our target market).
- **Weakness: Limited Corporate Experience.** The team lacks decades of experience in large-scale institutional management.
- **Remedy:** We have established an **Advisory Board** comprising retired school directors and senior EdTech consultants to guide high-level decision-making and mitigate succession risks.

3. Products / Services

Description

HOUD-HOUD offers a comprehensive School-Parent Communication Platform designed specifically for the Algerian education market. Our solution centralizes all school-related communication, replacing fragmented tools like WhatsApp groups and paper notebooks with a professional, reliable digital platform.

3.1 Product Overview

HOUD-HOUD offers a comprehensive School-Parent Communication Platform designed specifically for the Algerian education market. Our solution consists of two primary product offerings:

1. B2B School Management System

Our flagship product targeting private schools provides:

- Real-time grade entry and distribution system
- Attendance tracking with automated parent notifications
- Centralized messaging platform (school-to-parent, teacher-to-parent)
- Event calendar and announcements management
- Administrative dashboard with analytics and performance insights
- Digital report card generation and distribution

2. B2C Family+ Premium Subscription

An optional parent-facing premium tier offering:

- Ad-free experience
- AI-powered homework helper
- Learning insights and progress analytics
- Digital memory book (photos, achievements, milestones)
- Extended communication features

3.2 Technical Characteristics and Quality

Technical Architecture

- **Frontend:** Built with Flutter, enabling a single codebase for iOS and Android
- **Backend:** Firebase/Node.js for real-time data synchronization
- **Offline-First Design:** The app functions seamlessly even with intermittent connectivity, crucial for the Algerian market
- **Security:** End-to-end encryption for sensitive student data, GDPR-compliant data handling

- **Performance:** Optimized for low-end devices (2GB RAM) and slower network speeds (3G/4G)

Localization Features

- Multi-language support: Arabic, French, English, and Berber
- Right-to-left (RTL) interface for Arabic
- Cultural adaptation to Algerian school administrative practices
- Local payment gateway integration (CIB/Dahabia)

Quality Management Quality is a cornerstone of our value proposition. We implement:

- **Automated Testing:** Continuous Integration/Continuous Deployment (CI/CD) pipelines with automated unit and integration tests
- **User Acceptance Testing:** 6-month pilot phase with 10-20 schools to validate features and gather feedback
- **Performance Monitoring:** Real-time crash analytics and performance tracking (target: 99.9% uptime)
- **Security Audits:** Annual penetration testing by external security firms
- **ISO Compliance:** We plan to pursue ISO 27001 certification (Information Security Management) by Year 3

3.3 Product Strengths and Competitive Advantages

Key Strengths

- **Hyper-Localization:** Unlike international competitors (ClassDojo, Google Classroom), HOUD-HOUD is built specifically for Algerian schools, supporting local languages and administrative workflows
- **Simplicity:** Designed for non-technical users with intuitive UI/UX, addressing the "WhatsApp chaos" problem
- **Cost Efficiency:** 30-40% cheaper than international alternatives, with unlimited push notifications vs. expensive SMS (0.5-1 DZD per message)
- **Offline Capability:** Functions reliably on unstable networks, a critical requirement for the local market
- **Comprehensive Solution:** One-stop platform replacing multiple fragmented tools (WhatsApp, SMS, paper notes)
- **95%+ Parent Reach:** Significantly higher engagement than traditional SMS (60% reach)

Product Weaknesses and Mitigation

- **Weakness:** Brand recognition as a new entrant

Mitigation: Free 1-year pilot program for early adopter schools, leveraging testimonials and referral programs

- **Weakness:** Dependency on smartphone adoption among parents

Mitigation: Web-based dashboard accessible from any browser, SMS fallback for non-smartphone users

- **Weakness:** Resistance to change from traditional paper-based schools

Mitigation: Comprehensive onboarding (1-2 days), demonstrating 30-40% reduction in administrative workload

3.4 Client Purchase Factors

Schools and parents choose HOUD-HOUD based on:

- **Pain Point Resolution:** Directly addresses the frustration of missed information and disorganized communication
- **Time Savings:** 30-40% reduction in administrative workload for teachers
- **Cost Savings:** Eliminates SMS costs (schools spend 50K-100K DZD/year on SMS)
- **Professionalism:** Enhances school's image with modern, reliable communication tools
- **Parental Satisfaction:** Higher parent engagement leads to better student outcomes and school reputation
- **Ease of Use:** Minimal training required, quick setup (1-2 days)

3.5 Product Portfolio and Revenue Contribution

Flagship Product: B2B School Subscription The B2B school subscription is our primary revenue driver and flagship product. We offer two tiers:

- **Standard Plan (100,000 DZD/month):** For schools with <500 students, includes core features (grades, attendance, messaging)
- **Premium Plan (200,000 DZD/month):** For schools with unlimited students, adds analytics and priority support

Revenue Contribution by Product

- **Year 1 (2026-2027):** B2B subscriptions: 90-95% of revenue (7.2-9.5M DZD), B2C Family+: 5-10% (0.4-1M DZD)
- **Year 2 (2027-2028):** B2B: 80-85%, B2C: 15-20%
- **Year 3 (2028-2029):** B2B: 70-75%, B2C: 25-30%

Product Dependency Risk Currently, the company is highly dependent on the B2B school subscription product (85-90% of revenue). However, we mitigate this risk through:

- **Diversification Strategy:** Growing B2C Family+ subscription to reduce dependency
- **Product Evolution:** Planned marketplace features (tutoring services, educational content) by Year 3

- **Geographic Expansion:** Targeting multiple cities and eventually public schools (B2G)
- **Vertical Integration:** Future expansion into payment processing for school fees, creating additional revenue streams

3.6 Product Evolution and Development Roadmap

Phase 1: MVP (Current - June 2026)

- Core communication features: grades, attendance, messaging, events
- Mobile apps (iOS/Android) + web dashboard
- Basic analytics for schools

Phase 2: Enhanced Features (Year 1 - 2027)

- Launch Family+ premium subscription
- Add homework management module
- Integrate local payment gateways (CIB/Dahabia)
- Introduce basic AI-powered insights

Phase 3: Advanced Platform (Year 2 - 2028)

- AI homework helper and chatbot
- Advanced behavior analytics and predictive insights
- Marketplace for educational content and tutoring services
- School fee payment processing

Phase 4: Ecosystem Expansion (Year 3 - 2029+)

- B2G partnerships with Ministry of Education for public schools
- Regional expansion (Morocco, Tunisia)
- White-label solutions for international markets
- Integration with Learning Management Systems (LMS)

3.7 Market Life Cycle and Seasonality

Product Life Cycle The school communication app market is in the growth phase globally, but represents a blue ocean opportunity in Algeria (minimal local competition, high demand).

- **Adoption Rate:** 95% penetration in US schools, <5% in Algeria
- **Market Maturity:** Early stage in Algeria, significant room for growth
- **Technology Trends:** Mobile-first, AI integration, data analytics are driving evolution

Seasonality and Demand Patterns

- **High Season (September-October):** Back-to-school period, peak sales and onboarding
- **Mid Season (November-May):** Steady usage, opportunity for upselling Family+ subscriptions
- **Low Season (June-August):** Summer break, reduced activity, focus on product development and marketing prep
- **Economic Sensitivity:** Moderate. Private schools are relatively recession-resistant as education is prioritized by families

3.8 Sales Projections and Market Share

Target Sales Volumes

- **Year 1 (Jul 2026-Jun 2027):** 8-12 schools, 3,000-5,000 active parent users
- **Year 2 (2027-2028):** 30-50 schools, 8,000-15,000 active parent users
- **Year 3 (2028-2029):** 80-120 schools, 20,000-30,000 active parent users

Market Share Estimation Total Addressable Market: 1,500 private schools in Algeria

- **Year 1:** 0.7-2% market share (10-30 schools)
- **Year 2:** 3-7% market share (50-100 schools)
- **Year 3:** 10-13% market share (150-200 schools)
- **Long-term Goal:** 30-40% market share (450-600 schools) by Year 5

3.9 After-Sales Service and Support

Support Offering After-sales service is integral to our business model, included in the subscription price:

- **Onboarding:** 1-2 day setup and training (included)
- **Technical Support:** 24/7 helpdesk via chat and phone
- **Account Management:** Dedicated account manager for Premium tier schools
- **Training:** Ongoing teacher training and parent workshops
- **Updates:** Regular feature updates and bug fixes (no additional cost)

Support Cost Structure

- **Customer Success Team:** Approximately 15-20% of operating costs (Year 2+)
- **Revenue Impact:** Strong support drives retention (target: 90%+ annual retention rate)
- **Efficiency:** Self-service knowledge base and in-app tutorials reduce support ticket volume by 40%

Service Level Agreements (SLA)

- **Standard Tier:** Response within 24 hours, resolution within 72 hours
- **Premium Tier:** Response within 4 hours, priority resolution within 24 hours
- **Uptime Guarantee:** 99.5% minimum uptime (Year 1), 99.9% (Year 2+)

4. Market & Clients

Description

To sell its products, your company must know its market well. It is also about determining who your current and potential clients are while identifying potential dependencies.

Clients

Main Clients & Location

Our primary clients (B2B) are **Private Schools** in Algeria. The sector currently comprises approximately 1,500 private schools nationwide.

- **Target Profile:** Schools with 200–800 students that currently rely on manual methods or disorganized WhatsApp groups for communication.
- **Key Locations:** We are focusing our initial efforts on major urban centers with high internet connectivity and purchasing power, specifically **Algiers, Oran, Constantine, and Sétif**.
- **Secondary Users:** While schools are the direct buyers, the end-users driving adoption are the **Parents (B2C)**. These are typically working professionals aged 25–45 who seek better oversight of their children's education.

Prospecting Strategy

Our customer acquisition strategy follows a phased approach to build credibility before scaling:

- **Pilot Phase:** We target 10–20 "Early Adopter" private schools located in **Algiers** to validate the MVP (Minimum Viable Product) and gather testimonials.
- **Growth Phase:** Expansion to 300–500 schools across the top 5 Algerian cities.
- **Future Prospects:** We aim to target Public Schools (B2G) through a strategic partnership with the Ministry of Education, representing a massive potential pool of 25,000+ establishments.

Sales Distribution & Client Dependency

As a startup in the launch phase, we do not yet have a single client dominating sales. Our business model relies on a **SaaS (Software as a Service)** subscription strategy, which inherently distributes revenue across many schools.

- **Goal:** To ensure business stability, we aim for no single school to account for more than 5% of total turnover, minimizing the risk of dependency on any specific client.

Credit Risk Management

There is an inherent risk of delayed payments or "bad debt" due to administrative delays or low willingness to pay in the education sector.

- **Mitigation Strategy:** To neutralize this risk, we operate on a **pre-paid subscription model** (termly or annually). Access to the platform is automatically suspended if the subscription is not renewed, technically enforcing payment compliance without the need for debt collection.

Suppliers

Key Suppliers & Dependencies

Since our core business is software-based, our "supply chain" consists primarily of technology infrastructure providers rather than physical goods.

- **Primary Supplier (Hosting): Google (Firebase/Cloud Platform).** This represents approximately 10–15% of our fixed operational costs (estimated 30k–50k DZD/month initially). Our relationship is based on a standard Service Level Agreement (SLA).
- **Secondary Supplier (Communications):** Local telecom operators serve as SMS Gateway Providers. This is a variable cost (approx. 0.5–1 DZD per SMS).
- **Dependency Assessment:** We are highly dependent on cloud uptime. However, this risk is manageable as the technology stack is flexible and can be migrated to other major providers (like AWS or Azure) if necessary.

Strengths and Weaknesses

Strengths (Market & Clients)

Based on our market analysis, our key competitive strengths include:

- **Hyper-Localization:** Unlike global competitors, our app supports Arabic, French, and Amazigh, and is specifically designed to fit the administrative culture of Algerian schools.
- **Offline-First Technology:** The app utilizes an "offline-first" architecture, ensuring reliable function even with unstable 3G/4G connections—a critical requirement for local parents.
- **Simplicity:** We offer a "One-Stop-Shop" solution that centralizes grades, attendance, and messaging, effectively eliminating the chaos of multiple WhatsApp groups.

Weaknesses & Remedial Measures

We have identified specific weaknesses and established plans to address them:

- **Resistance to Change:** Schools and teachers accustomed to paper notebooks may resist digital adoption.
 - *Remedy:* We provide extensive **onboarding support (1-2 days)** and staff training. We also offer a free pilot period to demonstrate the 30-40% reduction in administrative workload, proving value before purchase.
- **Brand Trust:** As a new entrant, we lack the established reputation of traditional methods.
 - *Remedy:* We will implement a "Referral Program" and leverage success stories and testimonials from our initial pilot schools to build social proof.

5. Competition

Description

Competition represents a very important basis for comparison and strategic reflection. Take the time to study your market, see who the main players are, and how they are evolving.

Competitive Landscape

Main Competitors

The market currently suffers from a lack of specialized *local* solutions. Most schools are "underserved," forcing them to use tools not designed for education.

- **Global EdTech Giants (e.g., ClassDojo, Google Classroom):**
 - *Strengths:* High reliability, global brand recognition, free basic versions.
 - *Weaknesses:* **Language Barrier** (English-centric), complexity for average users, and lack of adaptation to the Algerian curriculum.
- **Informal Tools (e.g., WhatsApp, Facebook Groups):**
 - *Strengths:* Free, already installed on parents' phones, no training required.
 - *Weaknesses:* **Chaotic** (important messages get lost), privacy risks (phone numbers visible to all), and unprofessional.
- **Traditional Methods (Paper Correspondence, SMS):**
 - *Strengths:* Familiarity, no tech required.
 - *Weaknesses:* **Inefficient** (papers get lost), SMS is expensive with character limits, and no real-time updates.

Competitive Strategy

Barriers to Entry

- **Technical:** Moderate. While building an app is accessible, ensuring "offline-first" reliability on poor networks is a technical moat.
- **Financial:** Low to Moderate. Main costs are development and cloud fees.
- **Regulatory:** Low. No specific government license is currently required for private school communication apps, though data privacy laws must be respected.

Our Competitive Advantages (The "Houd-Houd" Edge)

Houd-Houd is positioned as the "**Localized Specialist**"—the only tool built specifically for the Algerian context.

1. **Hyper-Localization:** Full interface in Arabic, French, and Amazigh. UX designed for non-tech-savvy guardians.

2. **Cultural Fit:** We replace "WhatsApp chaos" with structured, private updates (one-way communication) that respect teacher privacy.
3. **Local Support:** Unlike US-based apps, we offer on-ground support and training.
4. **Cost Efficiency:** We offer unlimited push notifications for a flat fee, which is cheaper for schools than sending thousands of SMS messages (0.5–1 DZD per SMS).

Response to Competitor Strategies

- **If Competitors Drop Prices:** We compete on *value*, not just price. Our "Family+" premium features (homework help) provide unique value that free tools like WhatsApp cannot match.
- **If New Local Competitors Enter:** We rely on our **First-Mover Advantage** in the pilot schools to build a network effect and brand loyalty.

6. Marketing Plan

6.1 Description

The marketing plan defines how the School–Parent Communication App will be positioned, promoted, priced, and distributed. The strategy focuses on addressing parents’ daily communication challenges while encouraging schools to adopt the platform as an official, secure, and reliable communication channel. The approach follows a **B2B-first model**, targeting private schools as primary clients, while parents benefit through free and premium access.

6.2 Product Strategy

The product offering is centered on a digital platform that centralizes all school-related communication, replacing fragmented tools such as WhatsApp groups and paper notices. Detailed features and value propositions are presented in Chapter 3 (Products / Services).

From a marketing perspective, the product is positioned around:

- **Simplicity and ease of use** for non-technical parents.
- **Localization**, supporting Arabic, French, English, and Berber.
- **Operational efficiency** for teachers and schools, reducing administrative workload.
- **High reach and reliability**, ensuring over 95% parent engagement compared to traditional SMS-based communication.

6.3 Pricing Strategy and Conditions

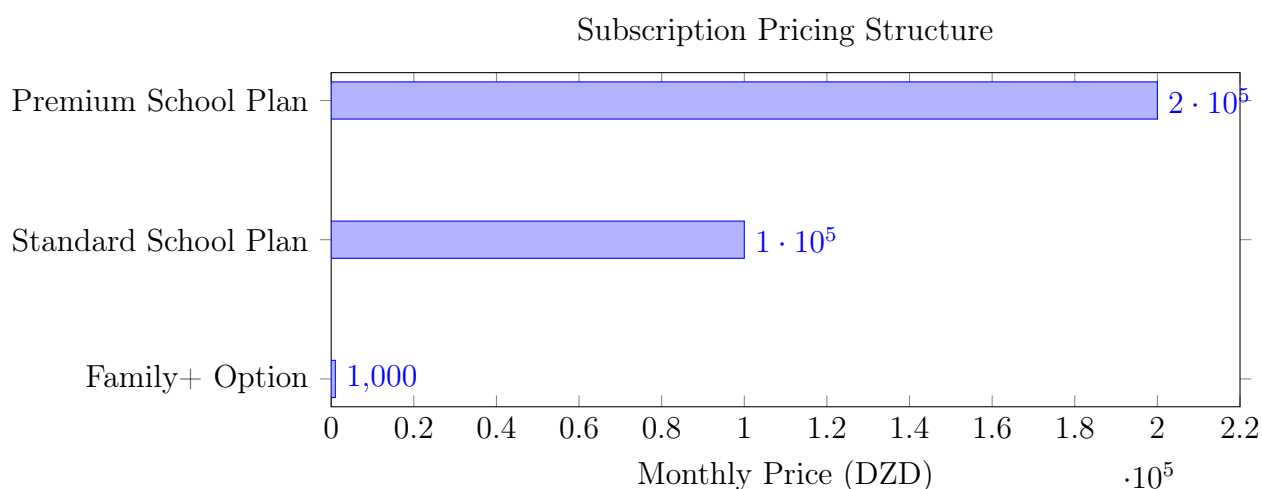


Figure 1: Monthly subscription pricing by customer segment

Business Model

- The application follows a **freemium model**.

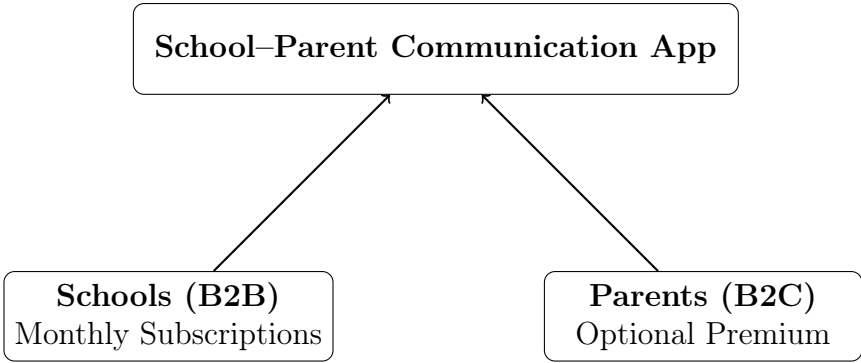


Figure 2: Revenue model overview (B2B-first approach)

- Parents access essential features for free, including grades, attendance, and announcements.
- Schools subscribe to paid plans (B2B) to unlock advanced administrative, analytics, and communication tools.
- Optional premium plans are available for families seeking an ad-free experience and additional insights.

Pricing Method

- The pricing strategy is primarily **value-based**, reflecting the operational efficiency, improved parent reach, and administrative time savings provided to schools.
- A complementary **cost-plus approach** ensures long-term financial sustainability while maintaining affordable pricing for the local market.

Actual Price Points

- **Standard School Plan:** 100,000 DZD per month (*for schools with fewer than 500 students; grades, attendance, messaging*).
- **Premium School Plan:** 200,000 DZD per month (*unlimited students; advanced analytics, reporting, priority support*).
- **Family+ Premium Option:** 1,000 DZD per month per family (*ad-free experience, AI assistance, extended insights*).

Pricing Policy

- Pricing is transparent and adapted to school size and feature requirements.
- Subscription fees remain significantly lower than international competitors, ensuring accessibility for Algerian private schools.
- Free pilot periods are offered to schools to reduce adoption risk.
- Discounts are available for long-term commitments and annual payments.

Support and Conditions

- Dedicated onboarding support is provided, with full school setup completed within 1–2 days.
- Teacher training and continuous technical assistance are included in all school subscriptions.
- A help center and responsive customer support ensure long-term customer satisfaction.

6.4 Communication and Promotion Strategy

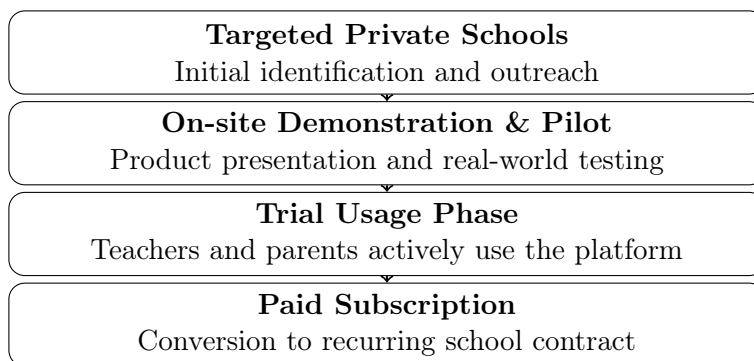


Figure 3: Structured school acquisition and conversion funnel

Promotion Channels Marketing efforts focus on direct and cost-effective channels aligned with the target audience:

- Direct B2B outreach to school administrators and principals.
- On-site demonstrations and pilot programs within schools.
- Presentations during parent meetings and educational events.
- Social media advertising (Facebook and Instagram) targeting parents aged 25–45.
- Word-of-mouth growth driven by parent and teacher satisfaction.

Advertising Budget

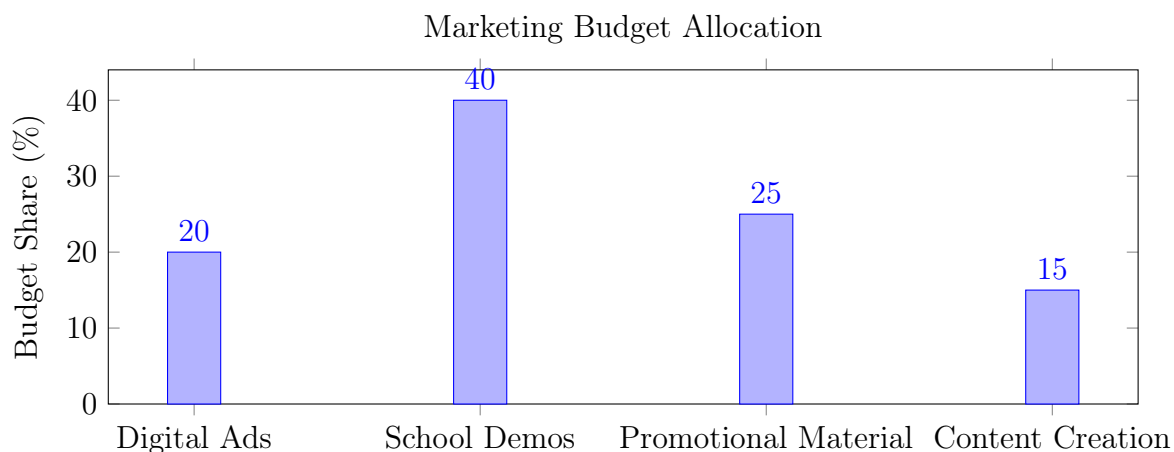


Figure 4: Estimated annual marketing budget distribution

- The total annual marketing budget is estimated between **1.5 and 2 million DZD**.
- Approximately **300,000 DZD per year** is allocated specifically to paid digital advertising.
- Remaining expenses cover demo materials, school events, presentations, and promotional content.

Advertising Management

- All marketing activities, content creation, and campaign monitoring are managed internally.
- Marketing performance is reviewed quarterly to optimize spending and conversion rates.

Performance Monitoring Marketing effectiveness is evaluated using measurable indicators:

- Number of registered schools.
- Number of mobile application downloads.
- Monthly active parents and teachers.
- Conversion rate from pilot programs to paid subscriptions.

6.5 Distribution Strategy

Distribution Channels

- The application is distributed digitally through Google Play, the Apple App Store, and a web-based dashboard for schools.
- Distribution is **direct and fully digital**.
- **Distributor locations:** N/A, as no intermediaries are involved.

Sales Organization

- Sales activities rely on direct engagement with private school administrations.
- An account-based sales approach is adopted, including demos, pilot phases, and personalized follow-up.
- Initial market entry focuses on urban private schools with 200–800 students.

Incentives for Sellers and Prescribers

- Commission-based incentives (10–15%) are offered to education consultants and sales partners.
- Referral incentives are provided to schools that successfully recommend the platform to other institutions.
- Early adopter schools benefit from preferential pricing and ambassador recognition.

Growth and Expansion

- The platform is initially validated through pilot partnerships with selected private schools.
- Following local success, expansion is planned at regional and national levels.
- Long-term growth includes partnerships with the Ministry of Education to integrate public schools.

7. Infrastructure & Technology

7.1 Description

Our organization operates as a digital technology company. Consequently, our "production" infrastructure refers to our software development lifecycle, cloud architecture, and data management systems, rather than physical manufacturing. Our administrative infrastructure supports sales, customer success, and general operations.

7.2 Production (Software Development & Operations)

a) Processes and Intellectual Property

- **Methodology:** We utilize Agile Scrum methodology with 2-week sprints to ensure rapid iteration and feature deployment.
- **Intellectual Property:** Our core assets include the proprietary source code for the mobile application (iOS/Android) and the web dashboard. We possess IP rights over our brand, the "Family+" algorithm, and our localized database structure designed for the Algerian education system.

b) Production Infrastructure (Equipment & Technology Stack)

- **Development Hardware:** High-performance workstations for the development team (Frontend/Backend) and design team (UI/UX).
- **Mobile Architecture:** *Flutter* framework (Google) allowing a single codebase for both Android and iOS, reducing maintenance costs by 40%.
- **Cloud Infrastructure:** *Google Firebase* is used for backend services, providing real-time database capabilities, authentication, and serverless computing.
- **Connectivity Optimization:** The app is engineered with "Offline-First" architecture to function seamlessly on the average Algerian mobile speed (21 Mbps) and handle intermittent connectivity.

c) Planned Acquisitions

- Scaling cloud server capacity (Firebase plan upgrades) as user base grows from the initial 1,500 pilot users to the targeted 150,000+ active users.
- Acquisition of advanced analytics tools for the "Family+" premium features (AI homework helper integration) in Year 2.

e) Storage and Production Capacities

- **Capacity:** Our serverless architecture allows for automatic scaling. We can support an increase from 500 to 50,000 concurrent users without manual hardware intervention.
- **Data Storage:** Secure cloud storage for student records, grades, and communication logs, compliant with Algerian data protection standards.

f) Subcontractors

- We handle core development in-house to ensure security and quality.

- We partner with external **Content Providers** for educational materials and potentially utilize external security firms for annual penetration testing.

g) Production Organization The technical team is structured as follows:

- **CTO / Tech Lead:** Oversees architecture and security.
- **Development Team:** 2 Full-stack developers (Flutter/Node.js).
- **UI/UX Designers:** Responsible for ensuring the interface is accessible for non-tech-savvy parents.
- **QA Engineer:** Responsible for testing and bug tracking.

h) Quality Control Measures

1. **Automated Testing:** CI/CD pipelines to automatically test code before deployment.
2. **Pilot Validation:** A 6-month pilot phase with 10-20 schools to gather feedback and fix bugs before mass rollout.
3. **Performance Monitoring:** Real-time tracking of app crashes and latency (Target: 99.9% uptime).

i) Evolution of Production Potential (5 Years)

- **Year 1-2:** Focus on core communication features and stability.
- **Year 3-5:** Evolution into an EdTech Marketplace, integrating AI learning tools and expanding infrastructure to support regional markets (Tunisia, Morocco).

j) Ecological Risks

- **Impact:** Low. Our activity significantly *reduces* paper waste by digitizing report cards, notebooks, and administrative letters.

k) Critical Evaluation

- **Weakness:** Dependence on third-party cloud providers (Google).
- **Mitigation:** Regular data backups and mobile-first design that requires minimal data usage for parents.

7.3 Sales / Administration

l) Sales Organization

- **B2B Team:** Dedicated Account Managers for direct sales to private schools (Directors/Principals).
- **B2C Team:** Digital marketing team focusing on "Family+" subscription acquisition via social media.

m) Administrative Infrastructure

- CRM software (Customer Relationship Management) to track school leads and sales cycles.

- Customer Support Ticketing System (ZenDesk or similar) to manage parent inquiries.
- Financial management software for B2B invoicing and subscription tracking.

o) Strengths and Weaknesses

- **Strengths:** Low physical overhead; highly scalable digital tools; automated onboarding process reduces administrative burden.
- **Weaknesses:** Need for continuous training of sales staff on technical features.

7.4 Premises / Buildings

p) Location

- Our primary administrative and development hub is located in **Algiers**. This provides central access to our initial target market (urban private schools) and talent pools.

q) Tenancy Status

- **Status:** Tenant.
- **Lease:** Standard commercial lease (Renewable annually).
- **Costs:** Allocated budget of 200,000 - 400,000 DZD/month for office rental and utilities (as per Cost Structure).

r) Condition & Expansion

- The current office space is sufficient for the initial team (Year 1).
- **Expansion:** As the team grows to support 200+ schools (Year 3), we plan to expand into a larger facility or adopt a hybrid remote-work model to manage real estate costs.

8. Financial Management

8.1 Overview and Objectives

Financial management aims to ensure the sustainability, transparency, and controlled growth of the School-Parent Communication App. It supports operational decision-making by monitoring financial performance, controlling costs, and aligning financial resources with strategic objectives.

8.2 Financial Monitoring System

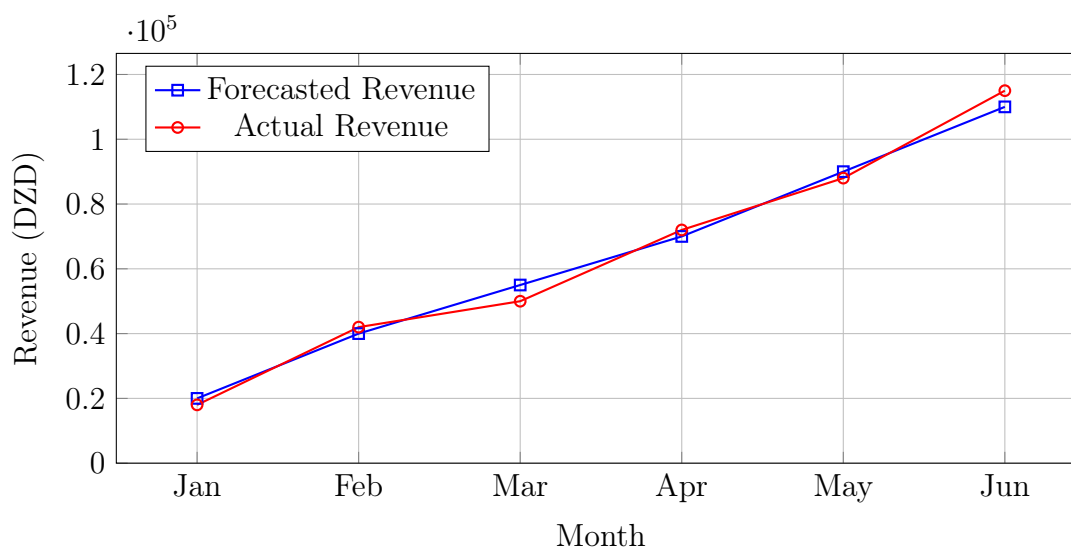


Figure 5: Revenue Forecast vs Actual (Jan-Jun)

Dashboard Structure A structured financial dashboard is implemented to provide a clear and timely view of the company's financial situation. The dashboard includes:

- Forecasted vs. actual revenue (*prévu vs. réalisé*).
- Forecasted vs. actual operating expenses.
- Monthly recurring revenue (MRR) by segment (schools and families).
- Fixed and variable cost analysis.
- Cash position, cash flow, and monthly burn rate.
- Customer acquisition cost (CAC) and revenue per school.

Key Financial Indicators The main financial KPIs monitored include:

- Number of paying schools and premium families.
- Operating margin.
- Cash runway (number of months of financial autonomy).

Update and Review Frequency

- Financial data is updated on a **monthly** basis.

- A **quarterly review** compares forecasts with actual results and adjusts budgets and projections when necessary.

8.3 Financial Tools and Systems

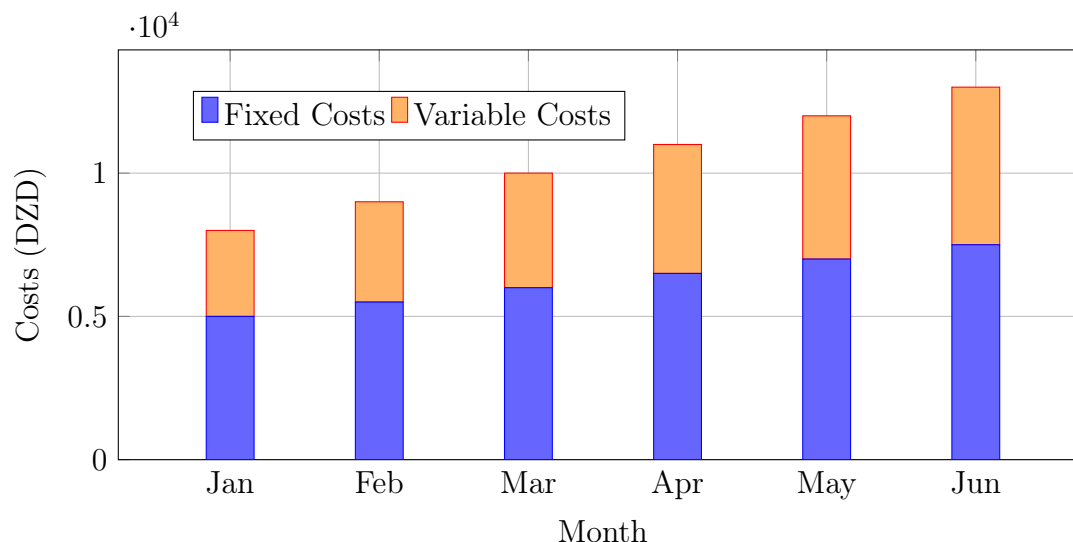


Figure 6: Monthly Cost Structure (Fixed vs Variable)

Current Tools

- **Excel / Google Sheets** for budgeting, forecasting, and financial dashboards.
- **Wave Accounting** (or equivalent lightweight accounting software) for expense tracking, invoicing, and accounting records.
- Digital banking dashboards for transaction monitoring.

Future Financial Software Development

- As the platform scales, the team plans to develop or integrate an internal financial management module.
- This tool will automate revenue tracking, expense categorization, KPI reporting, and forecast comparisons.
- The objective is to reduce manual processing, improve data accuracy, and centralize financial information within the company's ecosystem.

8.4 Financial Responsibilities and Governance

Internal Financial Management

- Financial oversight is ensured by a founding team member with foundational knowledge in accounting, budgeting, and financial analysis.
- Responsibilities include expense control, invoice validation, revenue monitoring, and preparation of monthly financial summaries.

External Accounting Support

- A certified external accountant is engaged on a periodic basis.
- The scope of intervention includes:
 - Preparation of annual financial statements.
 - Tax declarations and regulatory compliance.
 - Verification of accounting accuracy and best practices.
- No additional external financial mandates are currently contracted.

8.5 Capital Structure and Financing

Equity Structure

- The project is initially financed through founders' equity.
- Founders hold **100% of the equity** at this stage.
- Equity is not remunerated during the development and early commercialization phases.
- Founder remuneration is deferred until stable recurring revenue is achieved.

Debt Structure

- The company currently has **no financial debt**.
- There are no bank loans, credit facilities, or external creditors.
- As a result, no interest charges or repayment obligations apply.

Future Financing Policy

- External financing may be considered to support scaling and market expansion.
- Any future debt will be limited, clearly justified, and aligned with the company's revenue-generating capacity.

9. Financial & Operational Planning

Description

This section outlines our financial projections, operational milestones, and financing strategy for the next three years, from the current university phase through market leadership.

9.1 University Phase (Current - June 2026)

Timeline: January - June 2026 (6 months, 11-week MVP sprint)

Team Structure

- 7 co-founders working collaboratively
- Each founder holds approximately 14.3% equity
- No external hires during this phase

Key Activities & Deliverables

- **Product Development:** Complete MVP with core features (messaging, grades, absences, events)
- **Market Research:** Qualitative interviews (10-30 parents) + Quantitative survey (100-200 responses)
- **Business Plan:** Finalize comprehensive business plan documentation
- **Company Registration:** Complete CNRC registration process

Financial Budget

- **Total Budget:** 0-2,000 DZD
- **Expenses:** Domain registration (1,500-2,000 DZD), minimal administrative costs
- **Tech Stack:** Flutter (mobile), Firebase (backend), 100% free tier
- **Funding Source:** Bootstrapped by co-founders

Expected Outcomes

- Working MVP ready for pilot schools
- SARL registration with 700K DZD capital (100K DZD per founder)
- Market validation data from research
- Complete business plan for investor presentations

9.2 Year 1: Launch & Pilot Phase (July 2026 - June 2027)

Timeline: 12 months

Team Expansion

- 7 co-founders + 1 hire = 8 total

- **New Hire:** Junior developer or intern (ENSIA graduate preferred)
- **Co-Founder Role Distribution:**
 - CEO: Overall strategy and partnerships
 - CTO: Lead backend development
 - COO: Operations, sales, and marketing
 - Shared responsibilities: Customer support, strategic decisions

Strategic Objectives

- Target: 10-30 schools (starting with 2-3 free pilot schools)
- Goal: Achieve break-even by Month 10-12 with 8-10 schools
- **Calculation:** 8 schools $\times$ 100K DZD = 800K/month revenue vs. 700K/month costs
- Launch B2B school subscriptions
- Establish company operations and processes

Operational Milestones

- **Q1 (July-September 2026):**
 - 2-3 free pilot schools for beta testing
 - MVP refinement based on feedback
 - Marketing materials development
- **Q2 (October-December 2026):**
 - First 5-10 paying schools
 - Junior developer hire
 - B2B sales process establishment
- **Q3-Q4 (January-June 2027):**
 - Scale to 20-30 schools
 - Break-even achievement
 - Preparation for Family+ launch

Financial Projections Year 1 Revenue Streams:

- B2B Subscriptions: 100K DZD/month per school (Standard Plan)
- **Q2 (Oct-Dec 2026):** 3-5 schools = 300K-500K DZD/month $\times$ 3 months = 0.9-1.5M DZD
- **Q3 (Jan-Mar 2027):** 6-8 schools = 600K-800K DZD/month $\times$ 3 months = 1.8-2.4M DZD
- **Q4 (Apr-Jun 2027):** 8-12 schools = 800K-1.2M DZD/month $\times$ 3 months = 2.4-3.6M DZD

- **Total Year 1 Revenue:** 5.1-7.5M DZD (conservative) to 8-10M DZD (optimistic)

Operating Costs (Monthly):

- **Co-founder stipends:** 300,000-400,000 DZD total (50-60K each)
- Cloud infrastructure: 30,000-50,000 DJD
- Marketing: 100,000-150,000 DZD
- Office/Co-working: 50,000-100,000 DZD
- **Total Monthly Burn Rate:** 480,000-700,000 DZD

Annual Operating Budget:

- Total Year 1 Costs: 5.8-8.4M DZD (based on 12 months $\times$ 480-700K)
- Initial Capital: 700K DZD from 7 co-founders
- Bridge Funding Needed: 2-3M DZD (from incubator/angel)
- Revenue Generation: Starting Month 4, reaching 500K-1M/month by Year-end

9.3 Year 2: Growth & Scale (2027)

Timeline: 12 months

Team Expansion

- 7 co-founders + 5 employees = 12-13 total
- **New Hires:**
 - Customer Success Manager
 - Developer 1 (Mobile)
 - Developer 2 (Backend)
 - Sales Associate
 - Marketing Specialist
- **C-Suite Structure:**
 - CEO: Designated from co-founders (strategy, fundraising)
 - CTO: Technical co-founder(s) lead product
 - COO: Operations co-founder(s) manage business/sales

Strategic Objectives

- Target: 50-100 schools
- Launch Family+ B2C subscription (1,000 DZD/month)
- Geographic expansion: Beyond Blida/Algiers to Oran, Constantine, Annaba
- Achieve 25-30% net margin

Operational Plan

- Q1: Systemize onboarding and sales processes
- Q2: Launch Family+ premium subscription
- Q3: Expand to new cities, hire Customer Success Manager
- Q4: Reach 100 schools milestone, prepare for Year 3 scaling

Infrastructure Development

- Office space: 30-50K DZD/month lease in Blida or Algiers
- Apply to incubators: NEST, Technopark, INNOVUP
- Enhanced cloud infrastructure to support 20,000+ users

Financial Projections Year 2 Revenue Breakdown:

- B2B Schools: 30-50 schools $\times$ 100K DZD/month = 36-60M DZD/year
- B2C Family+: 500-800 parents $\times$ 1K DZD/month = 6-9.6M DZD/year
- **Total Annual Recurring Revenue (ARR):** 42-70M DZD
- **Conservative Projection:** 5-20M DZD (accounting for ramp-up)

Operating Costs (Monthly):

- Salaries (12-13 employees): 2-3M DZD
- Cloud infrastructure: 100-150K DZD
- Office: 30-50K DZD
- Marketing: 200-300K DZD
- **Total Monthly Costs:** 2.3-3.5M DZD

Annual Financial Summary:

- Total Revenue: 5-20M DZD
- Total Costs: 28-42M DZD
- Net Margin Target: 25-30%
- Break-even: Achieved with 40-50 schools

9.4 Year 3: Market Leadership (2028)

Timeline: 12 months

Team Structure

- 7 co-founders + 15 employees = 22 total
- C-Level Structure: CTO, COO, CMO roles filled by co-founders
- **Department Heads:**
 - Dev Lead, QA Lead
 - Customer Success Lead

- Sales Lead
- Content/Growth specialists

Strategic Objectives

- Target: 150-200 schools
- Become #1 school-parent communication app in Algeria
- Seed funding round: 35-70M DZD
- Prepare for regional expansion (Morocco, Tunisia)

Product Development

- Advanced features: AI insights, behavior analytics
- Payment processing integration
- Marketplace for educational content
- White-label preparation for B2G

Financial Projections Year 3 Revenue Streams:

- B2B Schools: $150-200 \text{ schools} \times 100-200\text{K DZD/month} = 180-480\text{M DZD/year}$
- B2C Family+: $3,000-5,000 \text{ parents} \times 1\text{K DZD/month} = 36-60\text{M DZD/year}$
- **Total ARR:** 216-540M DZD
- **Conservative Projection:** 15-40M DZD

Operating Costs (Annual):

- Salaries (22 employees): 35-45M DZD
- Infrastructure: 2-3M DZD
- Marketing: 3-4M DZD
- Office: 1-2M DZD
- **Total Costs:** 41-54M DZD

Profitability:

- Net Margin: 30-35%
- Net Profit: 5-14M DZD (at 15-40M revenue)

9.5 Financing Strategy

Equity Structure Evolution

- Initial (University Phase): 14.3% per founder (7 co-founders)
- After Seed Funding (Year 3): 10-12% per founder (20-30% dilution)
- Vesting Schedule: 4-year vesting with 1-year cliff (standard)

Funding Sources by Phase

- **University Phase:**

- Bootstrapped: 0-2K DZD (minimal expenses)

- **Year 1:**

- Co-founder capital: 700K DZD ($100K \times 7$)
- Early revenue: 1-3M DZD
- Potential incubator support: 0-2M DZD

- **Year 2:**

- Revenue reinvestment: 5-20M DZD
- Potential angel investors: 5-10M DZD (optional)

- **Year 3:**

- Seed funding round: 35-70M DZD
- Revenue: 15-40M DZD

Use of Funds

- Product development: 40-50%
- Sales & Marketing: 25-30%
- Operations: 15-20%
- Reserve: 5-10%

9.6 Payment and Repayment Capacity

Current Capacity (Year 1)

- Limited debt capacity due to pre-revenue/early revenue phase
- Focus on equity funding and revenue generation
- **Monthly burn rate: 500k-700k DZD** (updated to match above)

Future Capacity (Year 2-3)

- With 50+ schools: 3-10M DZD monthly revenue
- Debt service capacity: 500K-1M DZD/month
- Strong cash flow enables strategic borrowing if needed

Collateral/Guarantees

- Intellectual property (proprietary software)
- Recurring revenue contracts with schools
- Co-founder personal guarantees (if required)
- Future: Company assets and cash reserves

9.7 Financing Methods Consideration

Equity Financing

- Advantages: No repayment obligation, access to mentorship/network
- Disadvantages: Dilution of ownership
- Plan: Seed round in Year 3 (20-30% dilution)

Debt Financing

- Advantages: No dilution, tax deductible interest
- Disadvantages: Repayment obligations, interest costs
- Plan: Not recommended for Year 1-2; consider for expansion capital in Year 3+

Leasing

- Current Use: Office space leasing (30-50K DZD/month)
- Future Use: Potential equipment leasing for hardware as team scales
- Advantages: Preserves cash flow, flexible terms

Tax Implications

- Startup Label benefits: Tax exemptions for first 3 years
- Equity: No immediate tax impact, future capital gains considerations
- Debt: Interest expense is tax deductible
- Recommendation: External accountant to optimize tax structure

9.8 Three Best-Performing Products

Based on revenue projections and strategic importance:

1. B2B School Standard Plan (100K DZD/month):

- Primary revenue driver (60-70% of total)
- Target: Schools with <500 students
- High volume, predictable recurring revenue

2. B2B School Premium Plan (200K DZD/month):

- Higher margin product (20-25% of total)
- Target: Larger schools with 500+ students
- Includes priority support and analytics

3. B2C Family+ Subscription (1,000 DZD/month):

- Growing revenue stream (10-15% Year 1 → 25-30% Year 3)
- High margin (minimal cost to serve)
- Reduces dependency on B2B revenue

9.9 Top Three Clients in Forecast

As a B2B SaaS company targeting multiple schools, we intentionally avoid client concentration risk:

Client Diversification Strategy: No single client to exceed 5% of total revenue

- Year 1 Target: 10-30 schools (average 3-10% each)
- Year 3 Target: 150-200 schools (average 0.5-0.7% each)

Hypothetical Top Clients:

1. Large private school network (3-5 schools): 600K-1M DZD/year (3-5%)
2. Premium tier school (800+ students): 2.4M DZD/year (2-4%)
3. Early adopter pilot school (testimonial value): 1.2M DZD/year (1-2%)

9.10 Seasonal Cash Flow Considerations

Seasonality Impact

- **High Season (September-October):**
 - Back-to-school period
 - Peak sales and onboarding activity
 - High customer success demands
 - Cash inflow from annual prepayments
- **Mid Season (November-May):**
 - Steady subscription revenue
 - Opportunity for Family+ upselling
 - Normal operations and support
- **Low Season (June-August):**
 - Summer break, reduced activity
 - Lower support demands
 - Focus on product development
 - Preparation for high season

Cash Flow Management

- Mitigation: Pre-paid subscription model (termly/annually) smooths cash flow
- Buffer: Maintain 3-6 months operating reserve
- Pricing Incentive: Discounts for annual prepayment to secure cash upfront
- Cost Management: Variable costs (marketing) adjusted seasonally

9.11 Financing of New Acquisitions

Planned Acquisitions

- **Year 1:**
 - Cloud infrastructure scaling: 500K-1M DZD
 - Office equipment: 200-300K DZD
 - Financing: Revenue + initial capital
- **Year 2:**
 - Advanced analytics tools: 1-2M DZD
 - Office lease (if permanent space): 600K-1M DZD/year
 - Additional hardware for expanded team: 500K DZD
 - Financing: Operating cash flow
- **Year 3:**
 - AI integration tools: 3-5M DZD
 - Regional office setup (if expansion): 2-3M DZD
 - Marketing technology stack: 1-2M DZD
 - Financing: Seed funding + revenue

Acquisition Financing Strategy

- Capital expenditures <1M DZD: Operating cash flow
- Capital expenditures 1-5M DZD: Mix of cash reserves and revenue
- Capital expenditures >5M DZD: Dedicated funding round or strategic debt
- Equipment leasing for non-critical assets to preserve cash

10. Risk Assessment

Description

Every activity involves inherent risks. This section identifies potential risks across all aspects of our business and outlines comprehensive mitigation strategies to ensure sustainable growth and operational resilience.

10.1 Internal Risks (Organization, Management, Production)

1. Team Cohesion Risk

- *Risk:* Conflicts among 7 co-founders with equal equity (14.3% each)
- *Probability:* Medium (common in multi-founder startups)
- *Impact:* High (could paralyze decision-making)
- *Mitigation:*
 - Majority vote (4 of 7) for major decisions
 - Designated CEO for day-to-day operational decisions
 - Monthly board meetings with all 7 co-founders
 - Conflict resolution: Mediation clause with external advisor
 - Buy-sell agreement if co-founder wants to exit

2. Technical Talent Retention

- *Risk:* Losing key developers in competitive Algerian tech market
- *Probability:* Medium-High
- *Impact:* High (delays in product development)
- *Mitigation:*
 - Competitive salaries (700K-1M DZD/month for dev team)
 - Equity/stock options for early employees
 - Clear career growth path and skill development opportunities
 - Strong company culture and mission-driven work
 - Knowledge documentation and code review processes to reduce single-person dependencies

3. Product Development Delays

- *Risk:* MVP or feature releases delayed beyond pilot school deadlines
- *Probability:* Medium
- *Impact:* High (loss of pilot schools, damaged reputation)
- *Mitigation:*

- Agile methodology with 2-week sprints for accountability
- Conservative timelines with buffer in pilot agreements
- Prioritize core features, deprioritize "nice-to-haves"
- External developer contingency plan if internal team overwhelmed
- Regular stakeholder communication about progress

4. Quality Control Failures

- *Risk:* Critical bugs in production affecting grades/attendance data
- *Probability:* Low-Medium
- *Impact:* Critical (loss of trust, potential legal liability)
- *Mitigation:*
 - Comprehensive QA process: Automated testing + manual testing
 - 6-month pilot phase with 10-20 schools for extensive testing
 - Staged rollout: Never deploy to all schools simultaneously
 - Data backup and recovery systems
 - Bug bounty program for responsible disclosure
 - Professional liability insurance

10.2 Commercial Risks (Marketing, Market, Product)

1. Low Adoption Rate / Resistance to Change

- *Risk:* Schools/teachers prefer traditional paper methods, refuse digital adoption
- *Probability:* High (cultural resistance in education sector)
- *Impact:* High (inability to reach sales targets)
- *Mitigation:*
 - Free 1-year pilot for early adopter schools
 - Comprehensive onboarding: 1-2 days training included
 - Demonstrate ROI: 30-40% reduction in administrative workload
 - Teacher testimonials and case studies
 - Gradual adoption: Start with one grade level, expand if successful
 - In-person support during first month of usage

2. Low Willingness to Pay

- *Risk:* Schools find 100-200K DZD/month too expensive, delay payments
- *Probability:* Medium

- *Impact:* High (cash flow problems, inability to scale)
- *Mitigation:*
 - Pre-paid subscription model: No service without payment
 - Discounts for annual prepayment (10-15% discount)
 - Demonstrate cost savings: Eliminates SMS costs (50K-100K DZD/year)
 - Tiered pricing: Standard plan (100K) for smaller schools
 - Payment plans: Termly payments to reduce upfront cost
 - ROI calculator: Show time savings = teacher productivity gains

3. Competitive Entry

- *Risk:* International players (ClassDojo) or local competitors enter market
- *Probability:* Medium (market is attractive but requires localization)
- *Impact:* Medium (price pressure, slower growth)
- *Mitigation:*
 - First-mover advantage: Build brand loyalty with pilot schools
 - Deep localization moat: Arabic/French/Amazigh, cultural fit
 - Network effects: Multi-school parents prefer single platform
 - Long-term contracts: Annual subscriptions create switching costs
 - Continuous innovation: Stay ahead on features
 - Superior customer service: Local support beats international competitors

4. Market Size Overestimation

- *Risk:* Fewer than 1,500 private schools actually exist or can pay
- *Probability:* Low-Medium
- *Impact:* High (revenue targets unachievable)
- *Mitigation:*
 - Conservative targets: Year 1 only 10-30 schools (1-2% market)
 - Market research: Quantitative survey (100-200 responses) validates demand
 - Diversification: B2C Family+ subscription reduces B2B dependency
 - Public school strategy: B2G partnerships open 25,000+ school market
 - Geographic expansion: Morocco, Tunisia as backup markets

5. Parent Smartphone Penetration

- *Risk:* Not all parents have smartphones, limiting app reach
- *Probability:* Low (72.9% internet penetration in Algeria)

- *Impact:* Medium (reduces value proposition to schools)
- *Mitigation:*
 - Web dashboard accessible from any device/browser
 - SMS fallback for non-smartphone users
 - Target urban private schools where smartphone penetration is higher
 - "Family account" feature: One smartphone serves multiple family members
 - Partner with schools to facilitate device access (e.g., school tablets)

10.3 Financial Risks

1. Cash Flow Crisis / Runway Depletion

- *Risk:* Monthly burn rate (1-1.5M DZD) exceeds revenue, depleting reserves
- *Probability:* Medium (typical startup challenge)
- *Impact:* Critical (company bankruptcy)
- *Mitigation:*
 - Conservative burn rate: Prioritize essential expenses
 - Pre-paid model: Secure cash upfront from schools
 - Founder capital: 700K DZD buffer from 7 co-founders
 - Break-even goal: Month 9-12 (25-40 schools needed)
 - Emergency fundraising: Seed round accelerated if needed
 - Cost flexibility: Variable costs (marketing) can be cut quickly
 - Monthly financial reviews: Early warning system

2. Currency Fluctuation (DZD Devaluation)

- *Risk:* If company has foreign expenses (cloud, tools), DZD weakness increases costs
- *Probability:* Medium (Algerian dinar historically volatile)
- *Impact:* Medium (margins compressed)
- *Mitigation:*
 - Revenue and costs both in DZD: Natural hedge
 - Minimize foreign currency exposure: Use local payment gateways
 - Cloud provider diversification: Consider local hosting options
 - Price increases: Annual pricing reviews to account for inflation
 - Foreign revenue stream (Year 3+): Expand to Morocco/Tunisia for currency diversification

3. Cloud Infrastructure Cost Escalation

- *Risk:* Firebase/cloud costs exceed projections as user base grows
- *Probability:* Medium
- *Impact:* Medium (margin erosion)
- *Mitigation:*
 - Conservative estimates: Budget 30-50K → 100K DZD as scaling occurs
 - Usage monitoring: Real-time cost tracking and alerts
 - Technical optimization: Efficient database queries, caching
 - Tiered pricing: Pass increased costs to larger schools (Premium plan)
 - Alternative providers: Evaluate AWS, Azure if Firebase becomes uneconomical
 - Local hosting (future): If scale justifies dedicated servers

4. Interest Rate Increases

- *Risk:* If company takes debt in Year 3, rate hikes increase repayment burden
- *Probability:* Low-Medium
- *Impact:* Low (company primarily equity-financed)
- *Mitigation:*
 - Prefer equity over debt: Seed funding (Year 3) instead of loans
 - Fixed-rate debt: If debt is used, negotiate fixed rates
 - Strong revenue: Debt service capacity improves with scale
 - Covenant monitoring: Maintain debt covenants if applicable

10.4 Exogenous Risks (Legal, Political, Ecological)

1. Regulatory Changes (Data Privacy)

- *Risk:* New Algerian data protection laws impose stricter requirements
- *Probability:* Medium (global trend toward data regulation)
- *Impact:* Medium (compliance costs, operational changes)
- *Mitigation:*
 - Proactive compliance: Design with GDPR-level privacy from start
 - Data minimization: Only collect necessary student information
 - Encryption: End-to-end encryption for sensitive data
 - Legal advisor: External counsel for regulatory monitoring
 - Transparent policies: Clear privacy policy for parents/schools

- Local data storage: Keep data within Algeria if required

2. Ministry of Education Policy Changes

- *Risk:* Government mandates specific communication platform for schools
- *Probability:* Low (private schools have autonomy)
- *Impact:* Critical (could eliminate market if mandate excludes us)
- *Mitigation:*
 - Ministry partnership strategy: Position as preferred B2G provider
 - Private school focus: Less subject to government mandates
 - Compliance readiness: Ensure platform meets any future standards
 - Advocacy: Participate in EdTech policy discussions
 - Diversification: Geographic expansion reduces single-country risk

3. Economic Recession

- *Risk:* Economic downturn reduces private school enrollment, willingness to pay
- *Probability:* Medium (oil-dependent Algerian economy)
- *Impact:* Medium (slower growth, churn risk)
- *Mitigation:*
 - Essential service positioning: Education communication is not discretionary
 - Cost savings value prop: Platform reduces school expenses (SMS, paper)
 - Flexible pricing: Ability to offer discounts in crisis
 - Long-term contracts: Annual subscriptions provide stability
 - Public school pivot: B2G contracts less sensitive to economy
 - Lean operations: Low fixed costs, can scale down if needed

4. Political Instability

- *Risk:* Political unrest disrupts business operations or school year
- *Probability:* Low
- *Impact:* High (temporary business interruption)
- *Mitigation:*
 - Remote work capable: Cloud-based operations, team can work from anywhere
 - Geographic diversification: Expand to stable neighboring markets (Year 3+)
 - Cash reserves: 3-6 month runway to weather temporary disruption
 - Insurance: Business interruption insurance if available

5. Technology Disruption

- *Risk:* New technology (e.g., advanced AI) makes platform obsolete
- *Probability:* Low-Medium (EdTech evolving rapidly)
- *Impact:* High (product becomes uncompetitive)
- *Mitigation:*
 - Continuous innovation: Roadmap includes AI features (Year 2-3)
 - Market monitoring: Track global EdTech trends
 - Modular architecture: Platform can integrate new technologies
 - Strategic partnerships: Collaborate with AI/ML providers
 - R&D investment: Allocate 10-15% budget to innovation

10.5 Technical and Operational Risks

1. Connectivity Infrastructure Failure

- *Risk:* Algerian internet/mobile networks experience outages
- *Probability:* Low-Medium (occasional outages occur)
- *Impact:* Medium (temporary service disruption)
- *Mitigation:*
 - Offline-first architecture: App functions without internet
 - Data synchronization: Automatic sync when connection restored
 - SMS fallback: Critical notifications via SMS if app unreachable
 - Low-data mode: Minimal bandwidth usage for slow connections
 - User education: Train schools on offline features

2. Cloud Provider Outage (Firebase/Google)

- *Risk:* Google services experience downtime
- *Probability:* Low (99.9% SLA typical)
- *Impact:* High (complete service outage)
- *Mitigation:*
 - Multi-region deployment: Backup servers in different regions
 - Status monitoring: Real-time uptime tracking
 - Communication plan: Proactive user notification during outages
 - SLA enforcement: Demand credits for violations
 - Migration readiness: Technical ability to switch providers if needed
 - Client expectations: 99.5% uptime guarantee (allows for downtime)

3. Data Breach / Security Incident

- *Risk:* Hackers access student data (grades, personal info)
- *Probability:* Low (with proper security)
- *Impact:* Critical (legal liability, reputation destruction)
- *Mitigation:*
 - Security-first design: End-to-end encryption, secure authentication
 - Annual penetration testing: External security audits
 - Employee training: Security awareness for all team members
 - Incident response plan: Documented procedures for breach response
 - Insurance: Cyber liability insurance
 - Compliance: GDPR-level data protection standards
 - Regular updates: Patch vulnerabilities promptly
 - Access controls: Role-based permissions, least privilege principle

4. Dependency on Key Technology Partners

- *Risk:* Firebase/Flutter discontinued or pricing changes dramatically
- *Probability:* Low (major Google products)
- *Impact:* High (forced migration, development delays)
- *Mitigation:*
 - Technology monitoring: Track Google product roadmaps
 - Modular architecture: Reduce tight coupling to specific platforms
 - Alternative evaluation: Maintain knowledge of AWS, Azure alternatives
 - Open standards: Use portable technologies where possible
 - Migration planning: Budget for potential platform changes

10.6 Environmental and Ecological Risks

Answer: Minimal to None

HOUD-HOUD is a software company with negligible direct environmental impact. In fact, our platform provides environmental benefits:

Positive Environmental Impact

- **Paper Reduction:** Digital report cards, grade sheets, and announcements eliminate thousands of paper documents
- **Estimate:** Each school saves 10,000-50,000 sheets of paper annually
- **Carbon Footprint:** Reduced need for physical school visits and paper distribution

- **E-waste:** Minimal (no hardware production)

Indirect Environmental Considerations

- **Energy Consumption:** Cloud servers consume electricity

Mitigation: Google Cloud uses renewable energy for data centers

- **E-waste from Devices:** Parents use smartphones to access app

Note: We do not manufacture devices; this is pre-existing infrastructure

Conclusion: No significant environmental risks. Net impact is environmentally positive.

10.7 Risk Probability and Impact Matrix Summary

Critical Risks (High Probability & High Impact)

- Low adoption rate / Resistance to change
- Cash flow crisis / Runway depletion

High Priority Risks (Medium-High Probability or Impact)

- Technical talent retention
- Low willingness to pay
- Product development delays
- Data breach / Security incident

Medium Priority Risks

- Competitive entry
- Market size overestimation
- Regulatory changes
- Economic recession
- Cloud infrastructure cost escalation

Lower Priority Risks (Low Probability or Impact)

- Political instability
- Currency fluctuation
- Cloud provider outage
- Environmental risks (negligible)

10.8 Overall Risk Management Philosophy

HOUD-HOUD adopts a proactive risk management approach:

- **Quarterly Risk Reviews:** Board assesses emerging risks and mitigation effectiveness

- **Early Warning Systems:** Financial dashboards, technical monitoring, customer feedback loops
- **Flexibility:** Lean operations allow rapid pivots if major risks materialize
- **Documentation:** All risks and mitigations documented and updated regularly
- **Insurance:** Professional liability and cyber insurance by Year 2
- **Advisory Board:** External advisors provide independent risk assessment

Contingency Planning If critical risks materialize:

- **Scenario 1 (Low Adoption):** Pivot to B2C-first or B2G focus
- **Scenario 2 (Cash Crisis):** Emergency fundraising or controlled wind-down
- **Scenario 3 (Security Breach):** Activate incident response plan, communication to stakeholders
- **Scenario 4 (Major Competition):** Accelerate differentiation, consider acquisition

11. Appendices

11.1 Introduction

This section catalogs all supporting documents and annexes included with the HOUD-HOUD business plan. Each annex has been categorized according to standard business plan requirements and includes its current status and access information.

Documents are organized into four main categories:

1. **Plan Marketing** - Market research, competition, customer analysis
2. **Organization** - Company structure, CVs, legal documents
3. **Finances** - Budgets, projections, financial statements
4. **Infrastructure** - Technical documentation, equipment, facilities

Document Status Legend

- ✓ **Included** - Document is completed and accessible via provided link
- ○ **Not Applicable** - Document does not apply to HOUD-HOUD business model

11.2 CATEGORY 1: PLAN MARKETING

11.2.1 Market Study (Étude de marché)

Status: ✓ **Included**

Description:

Comprehensive market research validating HOUD-HOUD's business model through dual-methodology approach:

- **Qualitative Research:** 10-30 in-depth interviews with Algerian parents (60-75 minutes each, conducted in Arabic)
- **Quantitative Research:** 100-200+ survey responses via Google Forms (5-7 minutes, Arabic language)
- **Target Market Validation:** 1,500 private schools in Algeria serving 4.5 million families
- **Key Findings:** Parent frustration with missed updates, inefficient communication, need for centralized platform

Document: Market_Research_Report_HOUD_HOUD.pdf

Access Link:

[Market Research Report](#)

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11.2.2 Competition Analysis (Analyse de la concurrence)

Status: ✓ Included

Description:

Detailed competitive landscape analysis of school-parent communication platforms operating in or targeting the Algerian market.

- **International Competitors:** ClassDojo, Seesaw, Google Classroom, Classroom
- **Competitive Advantages:** First-mover in Algeria, Arabic interface, local payment integration
- **Pricing Comparison:** HOUD-HOUD's 100K-200K DZD/month vs. competitor pricing
- **Feature Matrix:** Messaging, grades, attendance, events, payments

Document: Competition_Analysis_HOUD_HOUD.pdf

Access Link:

[Competition Analysis](#)

11.2.3 Customer Analysis (Analyse de la clientèle)

Status: ✓ Included

Description:

Detailed segmentation and profiling of HOUD-HOUD's dual customer base.

- **B2B Customers:** 1,500 private schools, segmented by size and location
- **B2C Customers:** 4.5 million families, ages 25-45, working parents
- **Customer Personas:** 3 detailed personas with demographics and behaviors
- **Customer Journey Mapping:** Awareness → Purchase → Retention

Document: Customer_Segmentation_Analysis_HOUD_HOUD.pdf

Access Link:

[Customer Analysis](#)

11.2.4 List of Most Important Clients (Liste des clients les plus importants)

Status: • In Preparation (Will be completed during pilot phase - Q2 2026)

Description:

Catalog of pilot schools and early adopter customers:

- **Pilot Schools:** 2-3 schools for free 1-year beta testing

- School name, location (Blida/Algiers region)
 - Student count, grade levels
 - Contact person (school director)
 - Pilot start date, feedback summary
 - **First 10 Paying Schools:** Including contract value, start date, school profile
 - **Success Metrics:** 60%+ pilot-to-paying conversion rate target
- Expected Document:** Pilot_Schools_Client_List_HOUD_HOUD.xlsx
- Timeline:** Q2-Q3 2026 (after MVP launch and pilot recruitment)
-

11.2.5 Product/Service Brochures (Brochures publicitaires)

Status: • **In Preparation** (Marketing materials)

Description:

Marketing collateral for B2B and B2C audiences:

- **Product Brochure:** 2-page overview (Arabic & French) highlighting key features
- **B2B Sales Deck:** 15-slide PowerPoint presentation for school directors
 - Problem: Current communication inefficiencies
 - Solution: HOUD-HOUD platform features
 - Pricing: 100K DZD Standard, 200K DZD Premium
 - ROI: 30-40% reduction in admin time
- **B2C Flyer:** Parent-facing one-pager explaining Family+ benefits (1,000 DZD/month)
- **App Screenshots:** High-quality images of key screens (dashboard, messaging, grades)

Expected Documents:

- HOUD_HOUD_Product_Brochure_AR_FR.pdf
 - HOUD_HOUD_B2B_Sales_Deck.pptx
 - Family_Plus_Benefits_Flyer.pdf
-

11.2.6 Technical Process Description (Descriptif des procédés techniques)

Status: ✓ **Included**

Description:

Comprehensive technical documentation of HOUD-HOUD application architecture.

- **Technology Stack:** Flutter (mobile), Firebase (backend)

- **System Architecture:** High-level diagram with mobile app, cloud backend, admin dashboard
- **Development Timeline:** 11-week sprint plan
- **Security Measures:** TLS 1.3 encryption, AES-256, GDPR compliance
- **Scalability Plan:** Free tier → Paid Blaze → Enterprise

Document: Technical_Architecture_HOUD_HOUD.pdf

Access Link:

[Technical Architecture Documentation](#)

11.2.7 Press Clippings (Coupures de presse)

Status: ☐ **Not Applicable** (Pre-launch stage)

Description:

HOUD-HOUD is currently in development phase. This annex will be populated post-launch with articles from Algerian tech/education media, startup competition awards, and conference coverage.

11.3 CATEGORY 2: ORGANIZATION

11.3.1 Curriculum Vitae of Executives (CVs des dirigeants)

Status: ✓ Included

Description:

Professional CVs of HOUD-HOUD's seven co-founders, each holding 14.29% equity.

- **Khadraoui Afaf** - Co-Founder & CEO
- **Manaa Mohamed** - Co-Founder & CTO
- **Blaha Ibrahim** - Co-Founder & COO
- **Badreddine Salah** - Co-Founder & CMO
- **Zerraf Badreddine** - Co-Founder & CFO
- **Chehili Anis** - Co-Founder & VP Product
- **Mustapha Boulefa** - Co-Founder & VP Business Development

Documents: Individual CVs for all 7 co-founders (1-2 pages each)

Access Link:

[Houd-Houd Co-Founders CVs](#)

11.3.2 Organization Chart (Organigramme)

Status: ✓ Included

Description:

Visual organizational structure showing HOUD-HOUD's evolution from university project to mature company.

- **Phase 1 (University):** 7 equal co-founders
- **Phase 2 (Year 1):** 7 co-founders + 1 junior developer = 8 people
- **Phase 3 (Year 2):** 12-13 people (Technology, Customer Success, Business departments)
- **Phase 4 (Year 3):** 22 people (C-level structure with department leads)

Document: Organization_Chart_HOUD_HOUD.pdf

Access Link:

[Organization Chart](#)

11.3.3 Company Statutes (Statuts)

Status: ● **In Preparation** (To be prepared at company registration - Q2 2026)

Description:

Official company incorporation documents for HOUD-HOUD SARL:

- **Legal Form:** SARL (Société à Responsabilité Limitée) - Limited Liability Company
- **Share Capital:** 700,000 DZD total (100,000 DZD per co-founder × 7)
- **Ownership Structure:** 7 equal co-founders, each holding 14.29% (100 shares of 700 total)
- **Company Purpose:** Development and operation of educational technology software (EdTech)
- **Registered Office:** To be determined (planned in Blida or Algiers, Algeria)
- **Fiscal Year:** Calendar year (January 1 - December 31)
- **Management:** Collective management by all 7 co-founders (gerance collégiale)

Registration Process:

1. Company name reservation with CNRC (4 options submitted)
2. Notarization of company statutes
3. Publication in BOAL (Bulletin Officiel des Annonces Légales) - 7,000 DZD cost
4. CNRC registration and receipt of commercial register number

Expected Document: Company_Statutes_HOUD_HOUD_SARL.pdf

Timeline: June 2026 (after university project validation)

Note: Company will be formally registered with CNRC after successful completion of university business plan project.

11.3.4 Bankruptcy Office Certificate (Attestation de l'Office des poursuites)

Status: ○ **Not Applicable** (New company with no business history)

Description:

HOUD-HOUD is a new startup with no prior operations or debt history.

11.3.5 Commercial Register Copy (Copie du Registre du commerce)

Status: ● **In Preparation** (Will be obtained at CNRC registration - Q2 2026)

Description:

Official registration with Algeria's National Center of the Commercial Register (CNRC):

- **Registration Authority:** Centre National du Registre de Commerce (CNRC)
- **Proposed Company Names** (in order of preference):
 1. HOUD-HOUD (primary choice - named after Prophet Sulayman's messenger bird)
 2. HOUD-HOUD Technology
 3. HOUD-HOUD Education
 4. HOUD-HOUD EdTech Solutions
- **Registration Requirements:**
 - Notarized company statutes
 - Proof of share capital deposit (700,000 DZD)
 - BOAL publication certificate
 - Registered office lease or domiciliation contract
 - Identity documents of all 7 co-founders
- **Post-Registration Steps:**
 - Obtain NIF (Tax Identification Number) from DGI (Direction Générale des Impôts)
 - VAT registration (19% standard rate in Algeria)
 - CASNOS social security registration (within 10 days)
 - Open company bank account

Expected Document: Extrait_Registre_Commerce_HOUD_HOUD.pdf

Timeline: Q2 2026 (June 2026 target)

Estimated Costs:

- BOAL publication: 7,000 DZD
- Notary fees: 15,000-25,000 DZD
- CNRC registration: 5,000-10,000 DZD
- Total: 30,000-45,000 DZD

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11.3.6 Patents and Licenses (Copies des brevets, licences)

Status: ☐ **Not Applicable** (Software - no patents required)

Description:

Software is protected by copyright law. "HOUD-HOUD" trademark registration with INAPI is in progress.

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11.3.7 2.7 Important Contracts (Copies de contrats importants)

Status: ✓ **Included** (Co-Founders Agreement completed)

Status: • **In Preparation** (Other contracts during pilot phase)

Description:

Key commercial and legal contracts for HOUD-HOUD operations:

- **Co-Founders Agreement:** ✓ *Included*
 - 7 equal co-founders with 14.29% equity each
 - Roles and responsibilities definition
 - Decision-making processes (operational, tactical, strategic, critical)
 - Vesting schedule (4-year vest, 1-year cliff)
 - Departure clauses (voluntary, involuntary, death/disability)
 - Non-compete and confidentiality provisions
 - Dispute resolution procedures
- **Pilot School Agreements:** • *In Preparation*
 - Free 1-year pilot access for 2-3 beta testing schools
 - Terms: No payment, feedback required, no guarantee of service
 - Data usage and privacy terms
 - Pilot-to-paying conversion incentives
- **B2B School Contracts:** • *In Preparation*
 - Standard SAAS subscription agreement template
 - Pricing: 100,000 DZD/month (Standard) or 200,000 DZD/month (Premium)
 - Payment terms: Monthly in advance via bank transfer or CIB
 - Service level agreement (SLA): 99.5% uptime, 24-hour support response
 - Auto-renewal clause with 30-day cancellation notice
- **Data Processing Agreement (DPA):** • *In Preparation*
 - GDPR-compliant agreement for handling student/parent personal data
 - Data retention policies (3 years after account deletion)
 - Security measures and breach notification procedures
 - Sub-processor list (Firebase/Google Cloud)
- **Terms of Service:** • *In Preparation*
 - User agreement for parents using HOUD-HOUD mobile app
 - Acceptable use policy

- Limitation of liability
- Intellectual property rights

Documents:

- ✓ Co_Founders_Agreement_Draft.pdf - *Included*
- • B2B_SAAS_Contract_Template_HOUD_HOUD.pdf - *In preparation*
- • Data_Processing_Agreement_HOUD_HOUD.pdf - *In preparation*
- • Terms_of_Service_HOUD_HOUD.pdf - *In preparation*

Access Link (Co-Founders Agreement):

[Co-Founders Agreement Draft \(Google Drive\)](#)

Source: Prepared by HOUD-HOUD legal team with review by Algerian business attorney (recommended)

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11.3.8 Letters of Recommendation (Lettres de recommandation)

Status: • **In Preparation** (Will be obtained from pilot schools and faculty)

Description:

Testimonials and recommendations validating HOUD-HOUD's value proposition:

- **ENSIA Faculty Recommendation:** Letter from project supervisor/professor endorsing business concept and team capabilities
- **Pilot School Testimonials:** Letters from school directors after successful pilot testing
 - Highlighting: Time savings, improved parent communication, ease of use
 - Format: Official school letterhead, signed by director
- **Parent Testimonials:** Positive feedback from early Family+ subscribers
- **Target:** 3-5 recommendation letters by end of pilot phase (Q2 2026)

Expected Document: Letters_of_Recommendation_HOUD_HOUD.pdf

Timeline: Q2-Q3 2026 (after pilot phase completion)

11.4 CATEGORY 3: FINANCES

11.4.1 Opening Balance Sheet (Bilan d'ouverture)

Status: • **In Preparation** (To be prepared at company incorporation)

Description:

Financial snapshot at HOUD-HOUD formation showing initial assets, liabilities, and equity:

- **Assets:**
 - Cash: 700,000 DZD (share capital deposit)
 - Equipment: Laptops and development tools (owned by co-founders)
 - Intangible assets: Domain name (1,500-2,000 DZD), software development
- **Liabilities:** None initially (bootstrapped startup, zero debt)
- **Equity:** Founders' capital contributions
 - 7 co-founders $\times$ 100,000 DZD each = 700,000 DZD total
 - Equal equity split: 14.29% per co-founder

Expected Document: Opening_Balance_Sheet_HOUD_HOUD.pdf

Timeline: June 2026 (at CNRC registration)

Note: Balance sheet will be prepared by licensed accountant and certified for CNRC submission.

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11.4.2 3.2 3-Year Operational Budget (Budget opérationnel sur trois ans)

Status: ✓ **Included**

Description:

Detailed revenue and expense projections for Years 1-3 (2026-2028).

- **Revenue Targets:** Year 1: 20-25M DZD, Year 3: 350M DZD
- **Operating Expenses:** Personnel, technology, office, marketing
- **Break-Even:** 25-40 schools (Month 9-12)

Document: Operational_Budget_3_Years_HOUD_HOUD.xlsx

Access Link:

[3-Year Operational Budget \(Google Drive\)](#)

—

11.4.3 5-Year Investment Budget (Budget d'investissement sur cinq ans)

Status: ✓ Included

Description:

Capital expenditure plan for Years 1-5 (2026-2030).

- **Year 1:** 0-2,000 DZD (bootstrapping)
- **Year 2:** 4-7M DZD (Firebase upgrade, hires, marketing)
- **Year 5:** 17-28M DZD (regional expansion)

Document: Investment_Budget_5_Years_HOUD_HOUD.xlsx

Access Link:

[5-Year Investment Budget \(Google Drive\)](#)

11.4.4 3-Year Cash Flow Budget (Budget de trésorerie sur trois ans)

Status: ✓ Included

Description:

Monthly cash flow projections showing operating, investing, and financing activities.

- **Cash Inflows:** School subscriptions, Family+ payments
- **Cash Outflows:** Salaries, Firebase, SMS, marketing
- **Working Capital:** 6-12 months reserves target

Document: Cash_Flow_Budget_3_Years_HOUD_HOUD.xlsx

Access Link:

[3-Year Cash Flow Budget \(Google Drive\)](#)

11.4.5 Open Debtors List (Liste des débiteurs ouverts)

Status: ○ Not Applicable (Pre-revenue stage)

11.4.6 3.6 Open Creditors List (Liste des créanciers ouverts)

Status: ○ Not Applicable (No debt)

11.4.7 3.7 Credit/Leasing Contracts (Contrats de crédit ou leasing)

Status: ○ Not Applicable (100% bootstrapped, zero debt)

11.4.8 Tax Declaration Copy (Copie de la déclaration fiscale)

Status: • **In Preparation** (Will be filed upon company registration)

Description:

Tax registration and declarations with Algerian tax authorities:

- **NIF (Tax Identification Number):** Will be obtained from DGI (Direction Générale des Impôts) upon CNRC registration
- **VAT Registration:** Required for invoicing schools
 - Standard VAT rate: 19% in Algeria
 - Monthly VAT declaration and payment
- **Corporate Income Tax (IBS):** Annual declaration
 - Standard rate: 26% on profits for SARL
 - Potential startup tax benefits (if applicable)
- **TAP (Business Activity Tax):** 2% of turnover for service businesses
- **Social Contributions:** CASNOS registration within 10 days of company creation
 - Monthly social security contributions for co-founders and employees

Expected Documents:

- NIF_Certificate_HOUD_HOUD.pdf
- VAT_Registration_HOUD_HOUD.pdf
- Annual_Tax_Declaration_Year_1.pdf (will be filed after first fiscal year)

Timeline: Q2 2026 (upon CNRC registration), with first annual filing in January 2027

11.5 CATEGORY 4: INFRASTRUCTURE, PRODUCTION, REAL ESTATE

11.5.1 Production Equipment List (Liste des équipements de production)

Status: ☐ **Not Applicable** (Software company - no physical production)

Description:

HOUD-HOUD is a digital software service with no physical production equipment:

- **Development Equipment:** Co-founders use personal laptops for software development (BYOD)
 - **Server Infrastructure:** Cloud-based (Firebase) - no physical servers owned or leased
 - **Office Equipment:** No office space currently - remote work setup during university phase
 - **Note:** As a SaaS company, "production" is software code hosted on Google Cloud infrastructure
-

11.5.2 Vehicle List (Liste des véhicules)

Status: ☐ **Not Applicable** (No company vehicles)

Description:

HOUD-HOUD does not own or lease any vehicles:

- **Transportation:** Co-founders use personal transportation for school meetings and demos
 - **Sales Meetings:** Local travel in Blida/Algiers region by personal vehicle or taxi
 - **Future Consideration:** May lease company vehicle if sales territory expands beyond Algiers (Year 2+)
-

11.5.3 Subcontracted Goods Cost List (Prix de revient des marchandises)

Status: ☐ **Not Applicable** (No subcontractors - in-house development)

Description:

All software development is performed in-house by co-founders:

- **Development:** All 7 co-founders handle app development collaboratively, no outsourcing
 - **Design:** UI/UX design done in-house using Figma (free education license)
 - **Future:** May hire freelance developers for specific features (Year 2+), but not traditional "subcontractors"
-

11.5.4 Departmental Organization Charts (Organigrammes des services)

Status: ✓ **Included** (See Section 2.2 Organization Chart)

Description:

Organizational structure for HOUD-HOUD's operational departments covered in the main Organization Chart (Section 2.2):

- **Technology Department:** CTO (Manaa Mohamed) leading development
- **Operations Department:** COO (Blaha Ibrahim) managing B2B sales and support
- **Marketing Department:** CMO (Badreddine Salah) handling growth and brand
- **Finance Department:** CFO (Zerraf Badreddine) managing budgets and compliance
- **Product Department:** VP Product (Chehili Anis) owning roadmap and UX
- **Business Development:** VP BD (Mustapha Boulefa) managing school partnerships

Reference: See Section 2.2 Organization Chart document (already included)

11.5.5 Land Registry Extract (Extrait du Registre foncier)

Status: ○ **Not Applicable** (No property ownership)

Description:

HOUD-HOUD does not own any real estate property:

- **Office:** Currently operating remotely (home offices during university phase)
 - **Future:** May lease small co-working space or office in Blida/Algiers (Year 2), but will not purchase property
-

11.5.6 Lease Agreement Copy (Copie du bail à loyer)

Status: ● **In Preparation** (Will be executed when office space needed - Year 2)

Description:

Office space lease agreement (future):

- **Timeline:** Office space not needed until Year 2 (2027) when team grows beyond 5 people
 - **Planned Location:** Blida or Algiers, Algeria (close to target schools and talent pool)
 - **Size:** Small co-working space or shared office (sufficient for 10-15 people)
 - **Estimated Cost:** 100,000-200,000 DZD/month
 - **Lease Term:** 1-2 year lease with renewal option
-

Expected Document: Office_Lease_Agreement_HOUD_HOUD.pdf

Timeline: 2027 (Year 2, when team size requires physical office)

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11.5.7 Building Permit (Permis de construire)

Status: ☐ **Not Applicable** (No construction projects)

Description:

HOUD-HOUD has no construction or real estate development projects:

- **Business Model:** SaaS company requiring only office/co-working space (rental)
 - **No Construction:** Will lease, not build, any future office facilities
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11.5.8 Plans (Plans)

Status: ☐ **Not Applicable** (Software business - no architectural plans)

Description:

As a digital software company, HOUD-HOUD does not require architectural or facility plans:

- **Alternative "Plans":** System architecture diagrams and app wireframes are included in Technical Architecture documentation (Section 1.6)

12. GOOGLE DRIVE LINKS SUMMARY

All completed documents are accessible via the following Google Drive links:

PLAN MARKETING

1. Market Research: [Link](#)
2. Competition Analysis: [Link](#)
3. Customer Analysis: [Link](#)
4. Technical Architecture: [Link](#)

ORGANIZATION

1. Co-Founders CVs: [Link](#)
2. Organization Chart: [Link](#)
3. Co-Founders Agreement: [Link](#)

FINANCES

1. 3-Year Operational Budget: [Link](#)
2. 5-Year Investment Budget: [Link](#)
3. 3-Year Cash Flow: [Link](#)